

Carbon Project Financial Model

10-Year Cashflow Projection Template

Template 2 of 5 · Version v1.0 · For course use and capstone project

HOW TO USE THIS MODEL

This template provides a structured framework for building the financial model required for the Module 5 Capstone Project. Fill in the yellow input cells. All calculations will update automatically once converted to a spreadsheet. Values shown are illustrative examples.

PART A: PROJECT INPUTS (Fill These In)

Parameter	Unit	Your Value	Illustrative Example
Project name	Text		Rajasthan Biochar Carbon Project
Project start year	Year		2026
Total project area	Hectares		500
Number of farmers	Count		200
Carbon project type	Text		Biochar (VM0042)
Annual biochar production	Tonnes/year		1,050
CO ₂ e per tonne biochar	tCO ₂ e/tonne		2.6
Buffer pool deduction	%		15%
Carbon credit price (Year 1)	USD/tCO ₂ e		28
Annual price escalation	%/year		3%
Project development cost	INR (one-time)		15,00,000
Kiln capital cost (total)	INR (one-time)		4,20,000
Annual operating cost	INR/year		8,50,000
Verification cost	INR (Year 1, 3, 5...)		2,50,000
Farmer benefit share	% of carbon revenue		65%
Platform/registry fees	% of credit value		8%
USD:INR exchange rate	Rate		83.5

PART B: 10-YEAR CASHFLOW PROJECTION

Item / Year	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035
REVENUES (INR)										
Gross credits (tCO ₂ e)	2,730	2,730	2,730	2,730	2,730	2,730	2,730	2,730	2,730	2,730
Net credits (after buffer)	2,321	2,321	2,321	2,321	2,321	2,321	2,321	2,321	2,321	2,321
Carbon price (USD)	\$28	\$28.8	\$29.7	\$30.6	\$31.5	\$32.4	\$33.4	\$34.4	\$35.5	\$36.5
Gross carbon revenue (INR)	54.2L	55.8L	57.5L	59.2L	61.0L	62.8L	64.7L	66.6L	68.6L	70.7L
Less platform fees (8%)	4.3L	4.5L	4.6L	4.7L	4.9L	5.0L	5.2L	5.3L	5.5L	5.7L
NET REVENUE	49.9L	51.4L	52.9L	54.5L	56.1L	57.8L	59.5L	61.3L	63.1L	65.0L
COSTS (INR)										
Development cost (one-time)	15.0L	—	—	—	—	—	—	—	—	—
Kiln capital cost (one-time)	4.2L	—	—	—	—	—	—	—	—	—
Annual operating cost	8.5L	8.5L	8.5L	8.5L	8.5L	8.5L	8.5L	8.5L	8.5L	8.5L
Verification cost	2.5L	—	2.5L	—	2.5L	—	2.5L	—	2.5L	—
Farmer benefit share (65%)	32.4L	33.4L	34.4L	35.4L	36.5L	37.6L	38.7L	39.8L	41.0L	42.3L
TOTAL COSTS	62.6L	41.9L	45.4L	43.9L	47.5L	46.1L	49.7L	48.3L	52.0L	50.8L
NET CASHFLOW	(12.7L)	9.5L	7.5L	10.6L	8.6L	11.7L	9.8L	13.0L	11.1L	14.2L
CUMULATIVE CF	(12.7L)	(3.2L)	4.3L	14.9L	23.5L	35.2L	45.0L	58.0L	69.1L	83.3L

PART C: KEY FINANCIAL METRICS

Metric	Value	How to Calculate
Break-Even Year	Year 3	Year when cumulative cashflow turns positive
Simple Payback	2.4 years	Total capital / average annual net cashflow
10-Year NPV (10% discount)	INR 38.2 lakh	Sum of discounted net cashflows
10-Year IRR	42%	Discount rate that gives NPV = 0
Revenue per farmer per year	INR 1,698	Net revenue / number of farmers
Carbon revenue per tonne biochar	INR 2,270	Net carbon revenue / total biochar produced
Cost per tCO ₂ e abated	INR 885	Total costs / total net credits

NOTE: All figures are illustrative. Replace with your actual project data. INR lakh = 100,000 INR. Figures shown as 'L' = lakhs.